Legislation and Guidelines for Residential Real Estate Sales in Victoria (Australia)

Victorian State Legislation Governing Real Estate Sales

Sale of Land Act 1962 (Vic): This Act is the cornerstone of property sale laws in Victoria. It sets out the rights and responsibilities of sellers (vendors), buyers, and agents in land transactions [1]. Key provisions include:

- **Mandatory Disclosures (Section 32 Vendor Statement):** Sellers must provide a *vendor's statement* disclosing important information about the property (e.g. title details, mortgages, easements, zoning, outgoings). This requirement comes from Section 32 of the Act and ensures buyers are informed of any issues before signing a contract [2]. Failing to supply a complete and accurate Section 32 statement can give the buyer rights to withdraw.

- **Contracts and Cooling-Off:** The Act prescribes what must be in a contract of sale and provides a statutory *cooling-off period* for residential sales. In most private sales, a buyer can cancel the contract within **3 clear business days** after signing, though a small penalty (usually $100 or 0.2% of price) may apply [3]. Exceptions: no cooling-off if the property was purchased at auction or within 3 days before/after a scheduled auction, or the buyer had prior professional advice [4].

- **Off-the-Plan Sales and Sunset Clauses:** Special rules protect purchasers of off-the-plan properties. For example, deposits for off-the-plan purchases are capped at 10% and must be held in trust. The Act (as amended in 2019) regulates *sunset clauses* – a developer cannot simply cancel an off-the-plan contract using a sunset date without the buyer's consent or a court order [1]. These provisions guard buyers from unfair termination of contracts.

- **Deposits and Terms Contracts:** The Act requires transparency and fairness in how deposits are handled and when they can be released. Typically, deposit money must be held in an appropriate trust account (usually by the estate agent or solicitor) until settlement or lawful earlier release. **Early release of deposit** to the vendor (often under Section 27 of the Act) is only allowed if certain conditions are met (e.g. the buyer consents after receiving required information about any mortgages on the property). Complex *terms contracts* and rent-to-buy schemes are also regulated or restricted, to protect buyers from high-risk arrangements (recent amendments ban certain rent-to-buy arrangements to prevent exploitation).

- **Misleading Conduct and Material Facts:** The Sale of Land Act prohibits false or misleading conduct in relation to land sales, complementing general consumer law. Recent amendments impose a duty **not to conceal "material facts"** from prospective buyers – effective 1 March 2020, agents who knowingly hide a material fact about a property are breaking the law [5]. "Material facts" are facts that would be important to a reasonable purchaser (for example, known structural issues, or a significant event at the property). Consumer Affairs Victoria (CAV) has published **Material Fact Guidelines** under this Act to help agents understand what must be disclosed.

- **Auction Rules:** Auctions are tightly regulated. The **Sale of Land (Public Auctions) Regulations** (updated in 2024) set out how auctions must be conducted. Auctioneers must display the prescribed *auction rules* and information at least 30 minutes before auction, and must announce key conditions before bidding starts [6]. Bids cannot be accepted after the hammer falls, and it's illegal to disrupt an auction or make false bids. **Dummy bidding is expressly prohibited** – no one may bid artificially to drive up the price (penalties apply) [7]. *Vendor bids* (where the auctioneer bids on behalf of the seller) are allowed only if clearly announced and only the auctioneer can make them – the seller themselves cannot bid in the crowd [8]. If a property is "passed in" (not reaching reserve), the highest bidder gets first right to negotiate with the seller after the auction. Notably, auctions have **no cooling-off period** for the buyer, and auctions cannot be conducted before 1:00pm on ANZAC Day (April 25) under Victorian law [9] [10].

Overall, the Sale of Land Act 1962 ensures transparency and fairness in residential sales by mandating disclosure (e.g. Section 32 statements), providing cooling-off rights, regulating off-the-plan sales, and banning deceptive conduct [1]. Together with its regulations, it underpins consumer confidence by ensuring land sales are conducted lawfully and openly [11].

Estate Agents Act 1980 (Vic): This Act governs the conduct of real estate agents and agencies in Victoria. It establishes the legal framework for agent **licensing, professional conduct, trust accounting, and consumer protection** [12]. Key points include:

- **Licensing Requirements:** Anyone acting as an estate agent must be *licensed* under this Act – unlicensed trading is a criminal offence (penalty up to 12 months imprisonment or 500 penalty units) [13]. To obtain a licence, an individual must meet education requirements (currently a Certificate IV/Diploma in Estate Agency Practice per the **Estate Agents (Education) Regulations 2020**), be at least 18 years old, and be deemed fit and proper. Agents' Representatives (salespersons who work under a licensed agent) must also meet eligibility and be registered; an agent must not employ an ineligible person as a rep [14]. The Act also provides for a Business Licensing Authority (BLA) to grant licences and a public register of licensed agents.

- **Agent Authority and Commission:** An estate agent cannot act for a client to sell residential real estate without a **written authority** (agency agreement) from the owner. The authority must state essential terms, including the agent's **estimated selling price** for the property (single figure or range) before the client signs it [15]. The estimate must be reasonable, based on market evidence, and determined according to the Act's requirements [16]. If the agent learns their initial estimate is no longer reasonable (e.g. interest indicates a higher price), they must promptly notify the seller and revise the estimate in the authority [17]. It is an offence to misrepresent or falsely state an estimated selling price to the client or buyers [18]. Secret commissions or undisclosed kickbacks are banned – any referral fees or inducements must be disclosed to clients. The Act's **Section 55** prohibits an agent (or their associates) from knowingly obtaining a beneficial interest in a property they are commissioned to sell, unless a strict procedure is followed (including court approval in some cases). Breaching Section 55 is a serious offence (up to 2 years imprisonment or 240 penalty units) [19]. This prevents conflicts of interest where an agent might try to buy a listed property cheaply and still claim commission.

- **Professional Conduct Standards:** The Estate Agents Act enables regulations setting out standards of conduct. The **Estate Agents (Professional Conduct) Regulations 2018** (issued under the Act) require agents and their representatives to act honestly, in the best interests of their client, and fairly towards all parties [20]. By law, an agent must **not mislead or deceive** any party in a property transaction – this applies to advertising, quoting prices, and statements about a property's features or a seller's intentions [21] [22]. Agents must act in good faith, exercise due skill and diligence, follow lawful client instructions, and avoid conflicts of interest [20] [23]. For example, an agent cannot induce someone to break an existing contract, cannot accept a commission from both buyer and seller on the same transaction without all parties' knowledge, and must promptly communicate all offers to the vendor (unless instructed otherwise in writing) [24] [25]. These conduct rules are legally enforceable – breaches can lead to disciplinary action or penalties.

- **Advertising and Underquoting Laws:** The Act (as amended by underquoting reforms in 2016) strictly regulates price advertising for properties. Agents **must not advertise or advise a price that is less than the seller's asking price or the agent's reasonable estimate of the likely selling price** [26] [27]. Under **Victoria's underquoting laws**, agents have specific obligations to:

- include a reasonable *estimated selling price* in the authority (as noted above),
- base that estimate on comparable sales and evidence,
- prepare a **Statement of Information** for prospective buyers, and
- ensure all advertised prices are consistent with the estimated/seller's price [28].

A **Statement of Information (SOI)** must be prepared for *every residential sale listing* and: be in the approved form, display an *indicative selling price* (either a single price or a range within 10%) that is **not lower than the agent's estimate or the vendor's asking price or any offer already rejected**, list details of three comparable property sales (or fewer with justification if three aren't available) used in determining the estimate, and show the median price for the suburb [29] [30]. The SOI must be displayed at all open for inspections, included with online advertising, given to any prospective buyer on request within 2 business days, and updated if the indicative price changes [31] [32]. Advertising must be consistent with the SOI – for instance, if an offer above the top of the quoted range is rejected, the advertised price range must be raised accordingly during the campaign [33]. Agents **cannot use misleading price tactics** like "offers over $X" or intentionally lowball ranges that mislead buyers (the practice known as *underquoting*). These underquoting provisions complement the general prohibition on false representations in the **Australian Consumer Law (ACL)** [34]. Heavy penalties apply: breaches of underquoting laws (e.g. advertising below the lawful price) can mean fines up to 240 penalty units (≈ $48,000) and even loss of commission on the sale [35]. In serious cases (e.g. setting an unreasonably low estimate or advertising below the estimate), an agent may be ordered to **forfeit their entire commission** for that sale as an additional penalty [36].

- **Trust Funds and Accounts:** The Act imposes strict **trust accounting** rules to protect client money. Any deposit or money received on behalf of clients (vendors, purchasers, landlords, etc.) must be paid into an *approved trust account* at an authorised financial institution, **within strict time limits (generally immediately or by the next business day)** [37]. The funds must remain in that trust account until lawfully disbursed to the person entitled (e.g. paid to the vendor at settlement or refunded to a buyer) [37]. Trust accounts must be *separate* from the agent's general business accounts [38], and the agent must notify Consumer Affairs Victoria in writing within 14 days of opening or closing any trust account [39]. **Detailed records** of all trust transactions must be kept to show the true position of money received and paid [40]. Additionally, **annual audits** are mandatory – an agent must have an independent qualified auditor audit their trust accounts within 3 months of June 30 each year, and provide the audit report to the Director of CAV [41]. Audit reports must be retained for at least 7 years [42]. These requirements ensure transparency and early detection of any discrepancies. The Act creates offences for trust account breaches: for example, failing to deposit or wrongly withdrawing trust money can incur up to **120 penalty units** in fines per offence [37], and not getting accounts audited is also penalized (120 penalty units) [41]. More gravely, **misuse of trust money or falsification of trust records is a crime** – an agent who fraudulently uses client funds can face up to 10 years imprisonment [43]. In the event a client does lose money due to an agent's defalcation, the *Victorian Property Fund* (funded by contributions and interest from trust accounts) may compensate victims as a consumer protection measure [12]. Overall, the Estate Agents Act's trust accounting regime is designed to safeguard the large sums of money (deposits, etc.) that agents handle in property transactions.

- **Discipline and Enforcement:** The Estate Agents Act provides mechanisms to enforce standards. Consumer Affairs Victoria (and the Business Licensing Authority) can conduct investigations and trust account inspections. They can initiate disciplinary action in the Victorian Civil and Administrative Tribunal (VCAT) for breaches of the Act or regulations. Agents can face fines, licence suspension or cancellation, and bans from the industry for serious misconduct. The Act also establishes the **Estate Agents Guarantee Fund** (now part of the Victorian Property Fund) and other measures to resolve disputes (e.g. offenses for not cooperating with CAV investigations carry 240 penalty units) [44].

Consumer Affairs Victoria Guidelines and Code of Conduct

Professional Conduct Code: Estate agents in Victoria must not only follow the Acts above, but also adhere to the *Estate Agents (Professional Conduct) Regulations 2018*, which function as a code of ethics. These regulations (enforced by CAV) outline duties such as acting honestly, fairly and in the **client's best interests** at all times [45]. Agents and their representatives must exercise reasonable skill, care, and diligence, and complete their work as soon as reasonably possible [46]. They must follow lawful instructions of clients (e.g. regarding how offers are presented or whether to disclose a reserve price), except if doing so would be unethical or unlawful [20]. The code also requires: prompt communication of all **offers** to the seller (in writing or verbal) unless the client instructs otherwise in writing [47]; disclosure of any conflict of interest or personal relationship (for instance, if an agent recommends a particular contractor or broker in which they have an interest, they must inform the client) [48]; and maintenance of confidentiality of client information [24]. Importantly, an agent **must not mislead or deceive any party** – this reiterates legal prohibitions on false advertising and representations [21]. They also must not engage in harsh or unconscionable conduct, or do anything *"detrimental to the estate agency industry"* (a broad catch-all for unprofessional behavior) [23]. The CAV guidelines emphasize courtesy and responsiveness – for example, in rental matters, promptly responding to repair requests is mandated [49] (though rental management is beyond our scope here). If an agent breaches the Professional Conduct Regulations, they can be disciplined by CAV/VCAT. CAV publishes these expectations so that an AI (or trainee) should know an agent's **overarching duty** is to act with integrity, fairness, and in good faith in all dealings [45].

Advertising & Misrepresentation Guidelines: Consumer Affairs Victoria provides detailed guidance on advertising standards for agents. Agents must ensure all marketing material (online listings, brochures, statements to buyers, etc.) is **truthful, accurate, and not misleading** [21]. This covers obvious details like a property's features, size, location, and price – none of these should be falsely represented [50]. For example, an agent shouldn't advertise a property as having "ocean views" or "next to parkland" unless it truly does, and they shouldn't digitally edit photos to hide undesirable features (like photoshopping out a power line or floodwater) [51]. Omitting key facts can also be misleading by silence [52]. CAV's **Material Fact** guidelines (under the Sale of Land Act) require agents to disclose known material facts at the appropriate time – some information should be given early (e.g. known building defects or if the property was the scene of a serious crime, etc.), so that buyers are aware before making offers [52]. The rule of thumb is to "tell the truth, the whole truth, and nothing but the truth" in property advertising. *False testimonials* are also prohibited – any review or quote from a client used in advertising must be genuine and not misleading [53]. The agency's Officer in Effective Control is responsible for ensuring all staff comply with these advertising rules [54].

Underquoting Guidance: In addition to the legal requirements described earlier, CAV has published an *"Understanding Underquoting"* guide for agents [28] [31]. It reiterates that quoting a property at a price lower than its likely selling price (based on evidence or the vendor's known expectations) is illegal. Agents are trained to prepare the **Statement of Information** and update it as needed to reflect any changes (for instance, if during a campaign the vendor indicates a higher reserve, or a high offer is rejected, the indicative price must be raised) [33]. Advertising must **never use vague terms** like "offers above" or plus signs that could mislead – the indicated price must be a concrete figure or range that complies with the law. CAV also notes that advertising a price of "Contact Agent" or no price at all does not exempt agents from having an internal reasonable estimate and providing it in the Statement of Information to serious enquirers. The penalties for underquoting are severe as noted (fines and loss of commission) [35], and CAV actively enforces these rules (through mystery shopper audits and investigating complaints). An AI trained on these guidelines should respond to questions about property prices with an understanding that quoting must be fair and evidence-based, not simply a tactic to lure buyers.

Consumer Information Requirements: Victorian regulators emphasize informed decision-making. One notable requirement is the **Due Diligence Checklist** mandated by Consumer Affairs Victoria for residential property sales. **All sellers or their agents must make CAV's "Due Diligence Checklist" available to prospective buyers** [55]. In practice, this means providing hard copies at open for inspections and including a link to the checklist on online listings [56]. The checklist alerts buyers to consider issues like title restrictions, planning overlays, safety of structures, utilities and other factors before buying. Failure to provide this checklist can be a breach of an agent's obligations. Additionally, before an auction, agents must display the **prescribed information sheet** outlining the auction rules and relevant laws (as per the Auction Regulations) [6]. Agents are also expected to provide or display a **contract of sale** and **section 32 statement** to interested buyers during the marketing campaign (particularly at auctions, these should be available for inspection before and on auction day). In summary, CAV's guidelines reinforce that **full disclosure and transparency** are key parts of an agent's legal duties in Victoria.

Federal Legislation Impacting Real Estate Practice

While property sales are mainly governed by Victorian law, several **federal laws** also affect real estate transactions and agent obligations:

- **Australian Consumer Law (ACL):** The ACL is a federal law (contained in the *Competition and Consumer Act 2010*, and applied in Victoria via the *Australian Consumer Law & Fair Trading Act 2012*) that prohibits misleading or deceptive conduct in trade or commerce. Real estate agents must comply with the ACL when advertising and making statements about property. Misrepresentations about a property's characteristics (price, location, features, zoning, etc.) can breach the ACL, leading to fines or legal action [21]. The ACL also outlaws false or misleading representations and unconscionable conduct. Importantly, an offense can occur **regardless of intent** – even an unintentional misstatement that misleads a buyer can violate the ACL [57]. Agents need to ensure all information they provide is accurate and to promptly correct any incorrect information. The ACCC (Australian Competition & Consumer Commission) and CAV can enforce these provisions against agents. For training an AI, this means any scenario where an agent's statements are in question, the default legal standard is to be truthful and not deceptive, aligning with both state law and the ACL.

- **Privacy Act 1988 (Cth):** Real estate agencies often collect personal information from clients and potential buyers (for example, names and contact details at open homes, or financial details during negotiations). The federal Privacy Act and the Australian Privacy Principles (APPs) set out how personal information must be handled. In Australia, any real estate business with an annual turnover of $3 million or more is generally bound by the Privacy Act (and even smaller firms may opt-in or be subject to state privacy laws). **Agencies must only collect information necessary for their work, disclose their privacy policy to clients, keep data secure, and allow individuals to access their information if requested** [58]. They cannot use personal data for unrelated purposes without consent. For example, an agent should not give a buyer's contact details to a third party (like a moving company) without permission. Privacy obligations mean an AI agent should be mindful not to reveal personal or sensitive information in responses and to ensure any scenario complies with data privacy (e.g. not freely sharing a client's details).

- **Anti-Money Laundering and Counter-Terrorism Financing (AML/CTF) Laws:** Traditionally, real estate agents in Australia have not been "reporting entities" under the AML/CTF Act 2006. However, this is changing. The **Anti-Money Laundering and Counter-Terrorism Financing Amendment Act 2024** will extend AML/CTF obligations to real estate professionals starting **1 July 2026** [59]. Under these reforms (often called "Tranche 2" of AML laws), any agency *brokering real estate sales or purchases* will be required to comply with key AML/CTF obligations [60]. This will include: **customer identification (KYC)** – agents will need to verify the identity of clients (sellers and buyers) more rigorously; **reporting** of suspicious matters and large cash transactions to AUSTRAC; maintaining an internal AML/CTF compliance program and risk assessments; and keeping records of transactions. The new law aims to close a gap where property transactions could be used to launder illicit funds [61]. Certain real estate services will be designated as "high-risk" (such as handling buyer deposit funds or facilitating sales where funds might be from overseas) and therefore subject to these rules. Note that property management and purely rental activities are excluded from the AML scope, as are standalone auctioneering services (unless the auctioneer is also the listing agent) [62]. **Practically, by 2026 Victorian agents must implement procedures to identify their clients (e.g. checking passports, verifying source of funds for a purchase) and report any suspicious transactions.** An AI trained in this domain should be aware of these upcoming obligations: for instance, advising an agent user that "from 2026, you must comply with AML laws – verify your client's identity and report cash payments over $10,000, etc." is accurate. Even before 2026, many agencies voluntarily follow AML best practices to prevent being unwittingly involved in money laundering.

- **Taxation Laws:** Real estate transactions intersect with tax law in several ways. Two notable federal requirements are:

- **Foreign Resident Capital Gains Withholding:** Since 2017, if a foreign resident sells real property in Australia with a price of $750,000 or above, the **buyer is required to withhold 12.5% of the purchase price and remit it to the Australian Taxation Office (ATO)** [63] [64]. This is a tax collection mechanism to ensure foreign owners pay any capital gains tax due. The law actually affects all property sales above $750k: Australian resident vendors must obtain a *Clearance Certificate* from the ATO and provide it to the buyer before settlement to avoid the withholding [64]. If no clearance certificate is provided, the buyer *must* send 12.5% of the price to the ATO at settlement, even if the seller is an Aussie (they can later claim a refund via their tax return). For this reason, it's standard practice for agents and conveyancers to remind sellers to get a clearance certificate well in advance of settlement. An AI should know that for any high-value sale, part of compliance is checking the seller's residency status and ensuring the correct withholding or certificate is handled. Failure to withhold when required can leave the buyer (and potentially facilitators) liable for penalties.

- **GST (Goods and Services Tax):** GST can apply to real estate sales, though most established residential property is exempt (input-taxed) from GST. However, **new residential properties and subdivided vacant land** sales are subject to GST. Since July 2018, a GST withholding regime requires that for new residential sales, the *purchaser* withholds a portion of the price (generally 1/11th if full GST applies, or 7% if using the margin scheme) and pays it directly to the ATO on settlement. This ensures developers/ vendors pay the GST. Real estate agents need to include standard **GST notifications in contracts** for new properties, and ensure the buyer is aware of their obligation to withhold and remit the GST to the ATO. Agents themselves must also handle GST on their commissions (agent fees are subject to 10% GST which the agency must remit in its BAS). While calculation of tax isn't the agent's job, compliance with notice requirements is – failing to include the required GST withholding notice in a sale contract can lead to penalties. An AI being trained should understand that tax law (GST, stamp duty, CGT) often comes up in sales and an agent should refer clients to professionals for tax advice while ensuring procedural tax requirements (like withholding certificates and notices) are followed.

- **Foreign Investment Regulations:** Australia's foreign investment laws, under the *Foreign Acquisitions and Takeovers Act 1975* (FATA) and related policies, restrict and regulate foreign buyers of real estate. **Any foreign non-resident (or temporary resident) looking to buy residential property in Victoria must seek approval from the Foreign Investment Review Board (FIRB)** before purchasing. Generally, foreign buyers are only allowed to buy *new dwellings*, off-the-plan properties, or vacant land for development; direct purchases of established (second-hand) residential dwellings by non-residents are usually barred (with limited exceptions) to encourage housing supply. **As of 2025, this has been tightened further:** the Federal Government announced a **two-year ban (1 April 2025 – 31 March 2027) on foreign investors purchasing established residential properties** [65] [66]. This means until 2027, foreign non-residents cannot buy second-hand homes at all. Even outside of the ban period, any foreign purchaser must pay significant FIRB application fees and potentially annual vacancy fees if the property is left unused. The law imposes **heavy penalties** for breaches – a foreign buyer who purchases without approval can face hundreds of thousands of dollars in fines and even be forced to sell the property [67]. Importantly, third parties (including real estate agents, lawyers, etc.) who knowingly assist a foreign buyer to breach the rules can also be penalized. For instance, if an agent were aware a bidder at an auction was not a resident and had no FIRB approval, the agent should caution them and cannot legally facilitate the sale without approval. For compliance, agents typically ask prospective buyers if they are local or foreign and, if foreign, ensure they have (or can obtain) FIRB approval for the specific property. Training an AI would involve noting that **foreign buyer rules must be respected** – the AI should advise that any non-resident buyer needs permission and that selling to an unapproved foreign buyer is illegal.

- **Other Federal Laws:** Real estate businesses may also be subject to **employment laws** (for their staff), **workplace health and safety laws** (for property viewings and auctions), and **email spam/telemarketing laws** (when doing marketing, e.g. the Spam Act and Do Not Call Register). While these are ancillary to sales transactions, they form part of the regulatory landscape an agency operates in. Additionally, if an agency is a franchise, the **Franchising Code of Conduct** (under the Competition and Consumer Act) would impose obligations about how the business is run. Lastly, **common law** (court decisions) also shape practices – e.g. cases on misrepresentation or contract law (such as what happens if a seller or buyer breaches) – but those are typically handled by the parties' lawyers.

Trust Account Requirements and Financial Handling

Trust accounting is so critical that it merits a focused summary (much of which was touched on under the Estate Agents Act):

- **Establishing a Trust Account:** Any licensed estate agent who holds money on behalf of others (such as buyer deposits, rent, or advertising funds paid in advance by a client) must use a designated **trust account at an authorised bank**. The account must be titled as a "trust account" and kept separate from general business accounts [38]. The agent must notify Consumer Affairs Victoria of the account details within 14 days of opening or closing such an account [39].

- **Handling of Trust Money:** All **trust money must be deposited promptly** – the law requires that money received for or from others (e.g. a purchase deposit or tenant's rent) be paid into the trust account by the next business day (or as soon as practicable) [37]. It must remain in the trust account until it is properly due to be paid out to the entitled party. Trust funds can only be withdrawn for lawful purposes – for example, upon settlement, the deposit (less agent's commission if agreed) is paid to the vendor; if a sale falls through, the deposit might be returned to the buyer (or held pending dispute resolution). An agent must never use one client's money for another's benefit or for their own expenses – any intermingling or misapplication is a serious breach.

- **Record-Keeping:** Agents are obligated to keep **full and accurate accounts** of all trust transactions [40]. This means maintaining a trust ledger with individual client ledgers, recording every receipt and payment, with running balances. Receipts must be issued for all money received. The accounting system (whether software or manual) should at all times clearly show how much money is held for each client and in total. Reconciliations between the bank account and the trust ledgers should be done monthly. These records must be kept for at least 7 years.

- **Auditing:** Each year, **by September 30**, the agent must have an independent audit of their trust accounts for the year ending June 30 [41]. The auditor (who must be a qualified accountant or auditor not connected to the business) will check that the accounts are in order and money is properly accounted for. A copy of the auditor's report must be submitted to CAV within 10 business days of the agent receiving it [68]. If an audit report is not provided or shows issues, CAV can investigate further. *If an agent ceases trading*, they must do a final audit on closing the agency and report to CAV [69].

- **Penalties and Oversight:** Breaching trust account requirements can lead to fines (typically up to 120 penalty units for major breaches – over $24,000) [37]. Lesser breaches (like failing to notify of account opening) carry smaller fines (e.g. 60 penalty units) [70]. Critically, if an agent **misappropriates trust money or falsifies records**, the Act deems it a criminal offence – up to **10 years imprisonment** for individuals [43]. Even a significant *deficiency* in the trust account (where the account is short and funds can't cover what's owed) is an offence (with up to 2 years jail) [71]. These harsh penalties underscore that **trust money is sacrosanct**. CAV regularly inspects agencies (often unannounced) to ensure compliance [72]. The Victorian Property Fund, as noted, stands behind trust accounts to some extent – if an agent absconds with or misuses funds, affected clients can apply for compensation from the Fund (after the agent's surety or insurance is exhausted). However, prevention is far better than cure, so agents are trained extensively in proper trust handling. From an AI training perspective, any scenario involving deposits or client money should trigger the knowledge that *those funds must go into trust and be handled by the book*.

- **Examples:** If a buyer hands an agent a $50,000 deposit cheque, the agent should immediately issue a receipt and bank it to the trust account – not to the general account, not kept in a drawer. The money will sit in trust (earning nominal interest that usually goes to the Victorian Property Fund by law) until settlement, when it's disbursed according to the contract (often to the vendor, with the agent withdrawing their commission per the authority). If the sale is subject to a cooling-off or other condition, the agent cannot release the deposit to the vendor until all conditions are satisfied or as statute allows. If the sale is cancelled under cooling-off, the agent must refund the deposit (minus the small forfeiture to the vendor if applicable by law). All these steps need documentation in the trust records. An AI agent should be aware of these sequences to answer questions about deposit handling correctly.

Licensing, Training, and Compliance Standards

Operating as a real estate agent in Victoria is a licensed occupation. Key points on licensing and compliance:

- **Licensing and Registration:** A **Victorian Estate Agent's Licence** (granted under the Estate Agents Act) is required to lawfully carry on a real estate agency business [13]. Individual licensees can work independently or be directors/officers of licensed estate agency firms. There is also a category for an **Agent's Representative**, who is an unlicensed employee or contractor working on behalf of a licensed agent (they can perform sales and property management tasks under supervision, but cannot run their own agency or trust account). Agents' reps must be registered with the BLA and meet minimum education (currently a Certificate IV in Real Estate Practice). The **Estate Agents (Education) Regulations 2020** set the required qualifications for new licensees and agents' reps, ensuring they have "adequate knowledge of Victorian estate agency law and practice" [73]. In practice, to become an agent, one typically completes a course of study (up to a Diploma level), gains some experience, and passes a background check. Licences are renewable (annually or triennially) and require payment of fees and completion of an Annual Statement via CAV's myCAV portal. If an agent does not renew or file their statement, the licence can lapse.

- **Officer in Effective Control (OIEC):** Every real estate company must appoint an experienced licensed agent as the Officer in Effective Control – this person is responsible for supervising the agency's business and ensuring compliance with the law (including trust account oversight and staff supervision). The OIEC must have sufficient experience (usually at least 3 years as a licensed agent) and is the primary point of contact for regulators.

- **Continuing Professional Development (CPD):** While not historically mandatory in Victoria (unlike some other states), there is a strong industry push and recommendation for agents to undertake ongoing training each year. The REIV and other bodies offer CPD seminars on legal updates, best practices, etc. Pending reforms may soon make CPD compulsory to maintain a licence, as it's recognized that keeping knowledge up-to-date (especially with law changes) is crucial. An AI trained in this domain might note that *ongoing education* is either required or at least expected to ensure agents stay current with their obligations.

- **Compliance and Enforcement:** Consumer Affairs Victoria is the regulator overseeing estate agents. They can issue **infringement notices** for minor breaches and prosecute serious offences. For example, CAV can fine an agency via infringement for failing to include an agent's licence number in an advertisement (if that were required) or for trivial trust account errors, as an alternative to court. Serious matters (trust fund fraud, unlicensed trading, major misrepresentations) are prosecuted through the courts, potentially resulting in criminal convictions. Additionally, VCAT can hear disciplinary proceedings – which might result in a licence being suspended or cancelled, or conditions imposed (such as additional audits). The **penalty unit** system is used to calculate fines – as of FY 2025/26, one penalty unit in Victoria equals $203.51 [74]. So a 120 penalty unit fine is about $24,421. Penalties can be quite significant (e.g. 500 penalty units for unlicensed trading is over $100k) [75], which reflects how seriously the law takes consumer protection in real estate.

- **Codes of Conduct and Industry Body Standards:** In addition to legal regulations, many agents are members of professional bodies like the Real Estate Institute of Victoria (REIV), which has its own Code of Practice. While not law, breaching the REIV code could lead to internal discipline or loss of membership. The REIV code generally mirrors the legal duties: honesty, skill, courtesy, etc., and often goes further in requiring best practices. An AI might not need the specifics of REIV rules, but it should understand that ethical standards in real estate are both legal and self-regulatory.

- **Advertising and Marketing Compliance:** Agents must also comply with various advertising regulations. For instance, all advertisements must clearly identify the *licensed estate agency* (so the public knows who is advertising). Using misleading identifiers (like pretending a private seller when it's an agent) would be unlawful. There are also specific rules for **advertising prices** (discussed under underquoting) and **auction advertisements** (which must include details like the time/place of auction, and in some cases, the terms like deposit amount or settlement date if known). If using social media or digital marketing, agents still have to follow the same rules – a Facebook post advertising a property is legally an advertisement subject to ACL and underquoting laws just as a newspaper ad is.

- **Handling Complaints:** CAV provides processes for consumers to lodge complaints against estate agents. Agents should have internal dispute resolution procedures (the Professional Conduct regs require agents to inform clients about their complaint handling process) [76]. If a dispute (say about return of deposit, or conduct of an auction) can't be resolved, a consumer might escalate to CAV, which can mediate or investigate. Knowing this, an AI should guide scenarios towards resolution – e.g. "If a buyer feels they were misled, the agent should address it promptly or the buyer can contact Consumer Affairs for assistance."

In summary, **a licensed Victorian real estate agent must maintain high professional standards**, keep their knowledge current on laws, and ensure all aspects of their practice – from advertising, to handling money, to dealing with clients and buyers – comply with the myriad of state and federal laws. Non-compliance can lead to hefty fines, loss of licence, or even jail for extreme breaches, so the regulatory environment heavily incentivizes doing the right thing. This framework is in place to protect consumers in what are often the largest financial transactions of their lives.

Recent and Upcoming Changes to Note

The legal landscape for real estate is not static. Some recent and forthcoming changes that agents (and AI trained on their duties) should be aware of include:

- **Material Facts Disclosure (2020):** As noted, the Sale of Land Amendment Act 2019 introduced a duty not to conceal material facts. CAV's guidelines on this came into effect in March 2020.

Agents now have clearer direction that hiding important information (even if not explicitly asked by a buyer) can be unlawful. For example, if a home for sale had a major termite problem or was the site of a crime, an agent should disclose this at an appropriate stage. This change reinforced ethical transparency in response to some high-profile cases.

- **Underquoting Laws (2017):** Victoria's underquoting reforms took effect a few years ago, but they significantly changed agent practices. The requirement for Statements of Information, explicit estimated prices in authorities, and banning of certain price phrases began in 2017 and continues to be refined. Agents must regularly update themselves on guidelines – for instance, the indicative selling price range can only span 10% (e.g. $900k–$990k is okay, but not a wider range) and must always be revised upward if market feedback indicates a higher likely sale price [33]. CAV updated the guidelines in 2019 and 2021, and conducts audits to ensure compliance [72].

- **Digital Auction Rules (2024):** The **Sale of Land (Public Auctions) Regulations 2024** updated some auction processes. While the core rules (no dummy bids, etc.) remain, there has been discussion (as per REIV advocacy) about modernising how auction information is provided – for example, allowing auction rules to be provided electronically via a QR code at the auction, instead of physical posters [77] [78]. As of June 2024, the new regulations are in force, and agents should ensure they use the updated prescribed wording for auction rules and continue to display the information sheet as required. The government did not adopt all industry suggestions, so physical display is still required (at least one copy), but electronic dissemination is also allowed as a supplementary measure. With the rise of online auctions and simulcast bidding, agents also need to ensure compliance in those formats (the regulations apply equally to virtual auctions).

- **Anti-Money Laundering Expansion (2026):** As described, from 1 July 2026 real estate agents will be brought into the AML/CTF reporting regime [59]. This is a **major upcoming change**. Agencies should prepare by developing compliance programs: training staff in identifying suspicious behavior (e.g. unusual cash payments or complex buyer structures), establishing customer due diligence procedures, and registering with AUSTRAC when required. There may be a transition period, but by late 2025 agents will likely start gearing up for these obligations. The AI should reflect that soon agents must verify identities and perhaps say "I need to collect some ID for legal compliance" in scenarios – something traditionally done by lawyers in property sales, but soon also the agent's duty.

- **Foreign Buyer Ban (2025–2027):** The temporary federal ban on foreign purchases of established houses (announced in 2024 for commencement in April 2025) is an important change [65]. This means for two years, agents should not sell existing homes to foreign investors at all. Any inquiries from overseas buyers for second-hand properties will have to be turned down or redirected to new developments. After 2027, the normal FIRB rules may resume (which still heavily restrict such sales). Also, FIRB application fees and penalties have increased in recent years, reflecting a tougher stance on enforcement [67]. Agents should ensure they and their clients remain compliant to avoid aiding any illegal purchase.

- **Tenancy Law Reforms (2021):** Although about rentals, it's worth noting that in 2021, Victoria overhauled the Residential Tenancies Act 1997 with over 130 reforms enhancing tenant rights. This indirectly affects sales in scenarios like selling a tenanted property (tenants have rights during sales inspections, etc.). Agents involved in selling rentals need to provide the proper notices to tenants and cannot just evict for a sale except via proper procedures. The AI should be aware of respectful treatment of tenants in sale situations as per updated laws.

- **Ongoing Reforms and Reviews:** The property industry is subject to continuous review. In 2022, the government's **Property Market Review** considered various changes, such as mandating professional development for agents, tightening disclosure of property information, and reviewing agents' commission practices [79] [80]. Any recommendations may translate into future law changes. The industry is also watching proposals for **ban on certain inducements** (like referral commissions from conveyancers or kickbacks from finance brokers) – currently, rebates must be disclosed, but a stricter ban could come. Additionally, with technology evolving, regulators may address issues like agents using AI or automated valuations in advertising (ensuring they remain accurate).

In conclusion, a **licensed real estate agent in Victoria** must navigate a comprehensive legal framework: the Sale of Land Act and Estate Agents Act (with their regulations) form the core, setting out how sales must be conducted, what an agent must do (and not do), and safeguarding consumer interests. Consumer Affairs Victoria's guidelines further detail the expected conduct in areas like advertising honesty, underquoting, and professional ethics. Federal laws overlay additional duties in privacy, financial reporting, and consumer protection. An AI trained on these laws should be able to assist or respond in scenarios by always erring on the side of transparency, legality, and the client's best interest. For instance, if asked about handling a deposit, the AI should "know" to say it goes into a trust account and cannot be touched until settlement [37]. If asked about advertising, it should reinforce truthful price ranges and disclosure of pertinent facts. The legal and regulatory scheme ultimately aims to ensure that buying or selling a home in Victoria is done fairly, ethically, and safely, and an AI agent should reflect those same values in its advice and behavior.

Sources:

- Sale of Land Act 1962 (Vic) – key provisions on vendor disclosure, contracts, cooling-off, off-the-plan, etc. [1] [11]; Sale of Land (Public Auctions) Regulations; CAV guidelines on auctions [6] [7].
- Estate Agents Act 1980 (Vic) – licensing, conduct, trust accounting, Section 55 conflict rule [19], advertising and underquoting sections [81] [82].
- Estate Agents (Professional Conduct) Regulations 2018 – standards of honesty, fairness, skill [20] [23].
- Consumer Affairs Victoria – **Contracts and Disclosure** guidelines (vendor's statement requirements, due diligence checklist) [55]; **Professional conduct** and **Advertising/ Underquoting** guides [21] [29] [35]; material fact disclosure notice [5].
- Federal Laws – Privacy Act 1988 (Cth) (Australian Privacy Principles) [58]; Australian Consumer Law (ACL) via ACLFT Act 2012 (Vic) [21]; Anti-Money Laundering/CTF Act and 2024 Amendment (extension to real estate from 2026) [59] [60]; Tax laws (ATO withholding for foreign sellers) [63] [64]; FIRB rules and foreign buyer ban (2025) [65].
- Trust Accounting – CAV Trust Account guide / Estate Agents Act Part VI (accounts and audit) [37] [41] (duties to deposit, record, audit), with penalties for breaches [43].
- Consumer Affairs Victoria – **Penalties for Estate Agents** (overview of offences and fines) [83] [37].
- REIV information summaries – *Sale of Land Act* overview [1]; *Estate Agents Act* overview [12] (contextual understanding of the regulatory framework).

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